Question 1

Lease contracts - Capex Products Ltd

You have been appointed as the financial controller of Capex Products Ltd (Capex). Capex prepares its financial statements in accordance with IFRS® Accounting Standards. During the year ended 30 June 20X3, Capex entered two contracts with Ulease Ltd.

This information relating to the contracts is included in the Appendix.

It is the policy of Capex to apply the optional recognition exemptions permitted under IFRS 16 Leases.

Required:

Advise whether each contract is a lease and briefly explain how each should be accounted for. You are not required to prepare any journal entries.

(7 marks)

Appendix

Contracts

6- month use of vehicle

On 1 May 20X3, Capex entered a non-cancellable 6-month contract for exclusive use of a high-performance vehicle valued at £100,000, which had an estimated useful life of 15 years. The terms of the contract are that Capex will pay £3,000 per quarter, in arrears. There are no restrictions on how Capex may use the vehicle.

Capex does not have any other similar contracts.

Use of machine

On 1 October 20X2, Capex entered into a contract for the right to use a machine for a non-cancellable period of 4 years, followed by a further 2 optional years. When new, the machine had a fair value of £300,000. The machine will not result in any additional output for Capex but will generate labour cost savings. The machine will be integral to Capex's operations for at least 5 years and Capex would need to pay a significant penalty if it were to cancel during the optional period. Under the terms of the contract, Capex must undertake a mandatory service in year 3 of the contract in order that the machine can meet health and safety requirements.

Question 2

Sale & leaseback - House Tricks plc

You are the newly appointed financial controller of House Tricks plc (House). You are preparing the company's financial statements for the year ended 31 October 20X3 using IFRS Accounting Standards. The main business activity of house is manufacturing.

On reviewing the leasing file, you realise that not all the company's leasing arrangements have been accounted for in the year ended 31 October 20X3.

House sold an item of machinery on 31 October 20X3 for £500,000 when the machinery had a carrying amount of £400,000 and a fair value of £440,000. The proceeds were recorded as revenue. Legal title to the machinery was transferred to the buyer at the date of transfer and payment was made immediately. The machinery had a remaining economic life of 10 years from the date of transfer. House immediately leased the machinery back for a 2-year term, agreeing to make payments of£68,000 per half year in arrears, commencing 30 April 20X4.

The interest rate implicit in this agreement is 5.5% per half year. The four period present value annuity factor at 5.5% is 3.505.

Required:

1. Advise, showing all workings how the sale and leaseback transaction should be accounted for in the year ended 31 October 20X3 and prepare, showing all workings, any journal entries necessary,.

(12 marks)

Question 3

Lessee accounting - Petal Ltd

You are the financial accountant of Petal Ltd (Petal). You are preparing Petal's financial statements for the year ended 31 May 20X5, in accordance with IFRS Accounting Standards.

Petal entered into a contract on 1 June 20X2 to lease an asset which had an economic life of 12 years. The lease contract had a non-cancellable lease term of 5 years, with the option to extend for a further 2 years. Payments amounted to £12,500 annually in arrears for 5 years, starting on 31 May 20X3. If the extension were to be exercised, a further £10,000 would be paid on 31 May 20X8 and 20X9.

On 1 June 20X2, Petal's incremental borrowing rate was 5%.

At 1 June 20X2, Petal did not expect to exercise the extension option, however, on 1 June 20X4, Petal decided that it was now reasonably certain to exercise the extension option as the asset was integral to its operations. At 31 May 20X4, the financial statements included a lease liability of £34,035 and a right- of-use asset of £32,468.

At 1 June 20X4, the date of the remeasurement, Petal's incremental borrowing rate was 7%.

Required:

Advise, showing all workings, how the right-of-use asset and lease liability should be measured as at 31 May 20X5. You do not need to separately calculate the current and non-current elements of the lease liability.

(9 marks)

Question 4

Provisions & contingencies - Festive Beers plc

Festive Beers plc (Festive) is a regional brewer in the Midlands of England. It is 24 August 20X4 and the financial statements for the year ended 30 June 20X4 are being finalised, in accordance with IFRS Accounting Standards.

The Appendix includes several outstanding items.

Required:

Advise, how each of the items in the Appendix should be accounted for in the financial statements of Festive for the year ended 30 June 20X4.

(11 marks)

Appendix

Outstanding items

Court case

A customer bought a pint of Festive's Best Bitter in their local pub during March 20X4 and became ill. They are suing both the pub and Festive. The case has not yet come to court and although the company's solicitors believe that Festive will win the case, the directors offered an out-of-court settlement of £10,000 as a goodwill gesture. Under the terms of the offer, each side would meet their own legal costs which, in the case of Festive, are £1,500 up to 30 June 20X4 (all of which had been paid for and recognised as an expense by the year end). The customer has not yet formally accepted the offer.

Guarantee

Bottles for the company's beers are supplied by Beerbottle Ltd (Beerbottle). 5 years ago, to secure supplies, Festive gave a guarantee over a £3,000,000, 10-year bank loan taken out by Beerbottle. The guarantee is still in force. Beerbottle's latest financial statements indicate healthy net assets and it has not breached any of the terms and conditions of the loan.

Supply of bad malt

During April 20X4, the company took a delivery of malt from Maltings Ltd (Maltings) at a cost of £140,000. The malt turned out not to be fit for purpose, leading to the loss of three batches of beer which cost

£410,000 in total (including the cost of malt). In addition, Festive estimates lost profits of £125,000 on the beer. Maltings reimbursed £140,000 to Festive in June 20X4 and the proceeds were recorded against a suspense account. No other accounting took place.

Festive raised an insurance claim for the remaining costs and the loss of profits in May 20X4. No amount has been paid by the insurance company, although it has accepted in writing the claim for costs. The company's insurance broker is confident but not certain that the loss of profits claim will be settled.

Environmental damage

Due to a faulty valve, a batch of beer was inadvertently discharged into a river instead of into the bottling plant in November 20X3. The company paid a fine of £20,000 in March 20X4 for an illegal discharge. It is also responsible for rectifying any environmental damage. To 30 June 20X4, £200,000 had been paid in this respect. The extent of further expenditure is uncertain, although it is estimated to be £120,000.

Question 5

Provisions - Nairobi Enterprises plc

You are a finance manager for Nairobi Enterprises plc (Nairobi), which is preparing its financial statements for the year ended 31 May 20X8 in accordance with IFRS Accounting Standards. You have been asked to finalise the accounting for provisions.

At 31 May 20X7, the provisions on the statement of financial position consisted of the following:

	£'000
Decommissioning	1,087
Warranty	3,762
	4,849

Outstanding matters are included in the Appendix.

Required:

1. Advise how to account for the outstanding provisions matters in the Appendix for the year ended 31 May 20X8, and prepare showing all workings, any journal entries necessaary.

(13 marks)

2. Construct the provisions reconciliation disclosure note for the year ended 31 May 20X8.

(3 marks)

Total marks (16 marks)

Appendix

Outstanding provisions matters

1. Nairobi built a new head office building several years ago. The planning permission relating to the building required the grounds to be restored to their original condition when the building was no longer in use. At the time, Nairobi estimated the future cost of the restoration to be £3,000,000 and a discount rate of 7% was applied.

   A decommissioning provision was recognised and captialised as part of the cost of the asset. The carrying amount of the decommissioning provision at 31 May 20X7 was £1,087,000.

   At 1 June 20X7, the expected remaining useful life of the building was 15 years. Technological advances mean the future cost of the restoration has been estimated to be £2,400,000 at 31 May 20X8. There has been no change to the remaining useful life of the building.

2. Nairobi provides a standard warranty on one of its key products. Customers have 3 months from the date of sale to notify Nairobi of any product defects. Based on past results, of the products that are defective, there are a range of issues which need to be fixed. The average costs per type of issue are:

Type of defect	**Sales impacted %**	**Repair cost £'000**
Complete failure	5	70
Engine replacement	10	40
Minor repair	10	8

   There were 420 items under warranty sold in the 3 months to 31 May 20X8, none of which had been returned before the year end.

Question 6

Provisions and contingencies - Keplex plc

You are a financial controller for Keplex plc (Keplex), which prepares its financial statements in accordance with IFRS Accounting Standards.

Keplex is a haulage company with two Midlands depots, in Leicester and Worcester, and a head office site in Stirling. It has recently been decided to close the Leicester depot and run all its day-to-day operations from the Worcester site.

The financial statements for the year ended 31 March 20X4 are currently being prepared and you have been asked to advise the board on the necessary disclosures. The board have asked you to minimise the extent of disclosures regarding any closure decisions as they are concerned about the reputational damage it may cause. They have reminded you that the good reputation of the business is important to avoid any further redundancies and that this is more important than adhering to any IFRS Accounting Standards.

Further details are provided in the Appendix.

Required:

1. Advise the board, showing all workings, the accounting treatment for:

   - the closure of the Leicester site: and
   - the proposed closure of the Stirling head office

   in the financial statements for the year ended 31 March 20X4.

   (8 marks)

2. Advise of any ethical concerns that arise from the board's request that you minimise the extent of disclosures. You do not need to suggest any actions.

   (5 marks)

Total marks (13 marks)

Appendix

The board of Keplex made a decision to sell its Leicester division in December 20X3 after a rival company approached them with a favourable offer. This decision was announced to staff in January 20X4 and the company provided a press release to the Leicester Post news outlet a week later.

The sale was formally agreed at the end of January 20X4 and a contract was put in place. At 31 March 20X4, it was estimated that the following future costs would be incurred as a result of the sale:

- Staff redundancy costs – £250,000
- Retrain management-level staff and relocate them to the Worcester depot – £100,000
- Penalties to terminate supplier contracts – £195,000
- Marketing costs to promote the Worcester site as the premier depot in the Midlands, in anticipation of the Leicester closure – £50,000

In April 20X4, having realised the market did not react adversely to the news of the Leicester restructure, the Stirling head office was also considered for closure, with consideration given to running solely from the Worcester site. Redundancy costs were reliably expected to be £95,000. No alternative retraining opportunities would be available given the distance for relocation. This decision is known only by Keplex's directors.

Question 7

Companies A and B

You are the adviser to two companies. Neither company had a deferred tax balance at 31 March 20X1 and both prepare financial statements in accordance with IFRS Accounting Standards.

Company A has an asset that cost £1,000,000 on 1 April 20X1. It is being depreciated over its 10-year useful life, using the straight-line method.

Company B also has an asset that cost £1,000,000 on 1 April 20X1. It is being depreciated over its 3-year useful life, using the straight-line method.

Both assets qualify for capital allowances. The writing-down allowance rate is 18%. The deferred tax rate is 25%.

Required:

Calculate the deferred tax asset or liability at 31 March 20X2, 20X3 and 20X4, and prepare the necessary journal entry for the year ended 31 March 20X4 for each company.

(9 marks)

Question 8

Deferred tax - McKenzie plc

McKenzie plc (McKenzie) is a manufacturing company. At 31 March 20X2, McKenzie had a deferred tax liability of £1,800,000, relating wholly to accelerated capital allowances on plant and machinery.

Plant and machinery qualifying for capital allowances has a carrying amount of £70,000,000 and a tax written-down value of £62,000,000 at 31 March 20X3.

McKenzie purchased land several years ago for £6,000,000. On 31 March 20X3, the land was revalued to £7,800,000.

McKenzie has tax losses of £4,800,000 for the year ended 31 March 20X3. The company had previously been consistently profitable for 10 years. The loss arose from ceasing production of an old product range and is not being carried back. The new product range was introduced late in the year and the company is currently trading profitably. There has been no change of trade for tax purposes. Budgets indicate that the company will be profitable for the foreseeable future.

The deferred tax rate is 25%.

Required:

1. Advise whether any deferred tax should be recognised on the tax losses.

(2 marks)

2. Calculate , showing all workings, the deferred tax asset or liability at 31 March 20X3 and prepare the necessary journal entry.

(8 marks)

3. Advise McKenzie on the required deferred tax disclosure requirements as at 31 March 20X3.

(3 marks)

Total marks (13 marks)

Question 9

Deferred tax - King plc

King plc (King) had recognised the following deferred tax balances at 31 March 20X3:

Temporary difference	Taxable/(deductible) £'000	Deferred tax £'000
Accelerated capital allowances	10,000	2,500 Cr
Revaluation surplus	5,000	1,250 Cr
Tax losses	(15,000)	3,750 Dr
Net	-	-

Also, at 31 March 20X3, King had additional tax losses of £28,500,000, which were unrecognised. It was not probable at that time that these losses could be utilised.

Further information regarding deferred tax is in the Appendix.

Required:

1. Calculate, showing all workings, the deferred tax balance at 31 March 20X4 and prepare the necessary journal entry.

(10 marks)

2. Advise, including relevant calculations, the directors, of:
   a) The impact of losses in the deferred tax calculations for 20X3 and 20X4.
   b) The impact of the sale of land in the deferred tax calculations for 20X5.

(5 marks)

Total marks (15 marks)

Appendix

Further information regarding deferred tax

At 31 March 20X3, the carrying amount of assets qualifying for capital allowances equalled £90,000,000 and the tax written-down value was £80,000,000.

During the year ended 31 March 20X4, King acquired new assets qualifying for capital allowances costing £15,000,000. The total depreciation charge for the year was £20,000,000 and capital allowances utilised were £17,100,000. All the assets qualifying for capital allowances are plant and equipment.

Properties which had previously had a revaluation increase in the year ended 31 March 20X3 were revalued at 31 March 20X4. Cumulative revaluation increases for deferred tax purposes are £6,000,000 at 31 March 20X4.

At 31 March 20X4, King has deferred income of £8,000,000 in respect of a deposit received from a customer for work to be performed in May 20X4. The amount was taxed when it was received.

During the year ended 31 March 20X4, King had accounting profit before income taxes of £34,000,000. Taxable profits equalled £41,500,000. Tax losses brought forward have been used to fully eliminate these taxable profits.

King has agreed the sale of land, with the completion due in the year ended 31 March 20X5. This will give rise to an accounting gain of £5m. The taxable gain, which was £6.5m, is planned to be rolled over against a new plot of land, which will be acquired in the same year for £16m. The deferred tax rate is 25% (20X3: 25%).

Question 10

Current and deferred tax - Jeffrey, Hastings and Sole Ltd

You are the financial controller of Jeffrey, Hastings and Sole Ltd (Jeffrey). You are preparing the company's financial statements for the year ended 31 March 20X4, in accordance with IFRS Accounting Standards.

Today, you must finalise the accounting for tax. Due to a problem with Jeffrey's computer systems, all corporation tax transactions during the year have been posted to a tax suspense account. You have analysed the balance on this account and the details are set out in the Appendix, together with all other relevant tax accounting information that requires to be dealt with, including the items affecting the company's deferred tax position.

Required:

Advise on the correct accounting treatment for the items in the Appendix for the year ended 31 March 20X4 and prepare , showing all workings, any journal entries necessary.

(14 marks)

Appendix

Details of the tax suspense account and other relevant tax accounting information

Current tax

Tax suspense account

At 31 March 20X4, the balance on the tax suspense account was a debit balance of £1,299,000. You have been able to analyse this as follows:

	£'000
Payments of corporation tax relating to the year ended 31 March 20X3	660 Dr
Payments of corporation tax relating to the year ended 31 March 20X4	639 Dr
	1,299 Dr

The corporation tax liability included in the financial statements at 31 March 20X3 was £618,000.

Taxable profit

The draft statement of profit or loss shows profit before income taxes of £5,192,000. Jeffrey's tax advisers have advised that the taxable profit, based on the draft statement of profit or loss presented to them, is £5,009,000.

Deferred tax

Balances brought forward

At 31 March 20X3, Jeffrey's deferred tax balances were as follows:

	£'000
Accelerated capital allowances	183 Cr
Revaluation surplus	144 Cr
Pension asset	23 Cr
	350 Cr

Accelerated capital allowances

At 31 March 20X3, the carrying amount of assets qualifying for capital allowances equalled £20,875,000 and the tax written-down value was £20,143,000. The total cost of new assets acquired during the year ended 31 March 20X4 which qualify for capital allowances was £2,063,000. The total depreciation charge on assets qualifying for capital allowances for the year was £3,297,000 and capital allowances utilised amounted to £4,280,000.

Revaluation surplus

Jeffrey's properties are revalued annually. At 31 March 20X3, the properties showed cumulative revaluation increases before tax of £576,000. Due to a downturn in the market, the valuation of the same properties at 31 March 20X4 was £102,000 lower than at 31 March 20X3.

Pension asset

At 31 March 20X3, Jeffrey had a pension surplus on its defined benefit pension scheme amounting to

£92,000. At 31 March 20X4, the surplus had turned into a deficit of £228,000. The scheme has been closed for several years and current employees are members of the company's defined contribution scheme.

Additional Information

The corporation tax rate is 25%.

The deferred tax rate is 25% (20X3: 25%).

Question 11

Leases – Scott Ltd

You are the financial controller of Scott Ltd (Scott). You are preparing the company's financial statements for the year ended 30 June 20X4 using IFRS Accounting Standards.

On reviewing the leasing file, you realise that not all the company's leasing arrangements have been accounted for in the year ended 30 June 20X4.

Scott has determined it has a 3-year lease contract, taken out on 1 July 20X3 for a retail property unit, for which they pay £60,000 annually on 30 June plus 1% of the year's sales revenue. This is subject to a minimum additional payment of £10,000. For the year ended 30 June 20X4, sales revenue amounts to £1,600,000.

Scott also sold a machine to a finance house on 1 July 20X3 for £450,000, which was its fair value at that date. The carrying amount of the machine immediately before the sale was £390,000. The machine was immediately leased back for 5 years in exchange for payments of £100,000 each year in arrears. The transfer meets the definition of a sale in accordance with IFRS 15 Revenue from Contracts with Customers.

The interest rate implicit for these leases is 8%. The 3-year present value annuity factor at 8% is 2.577 and the 5-year annuity factor at 8% is 3.993.

Required:

1. Advise, showing all workings, how the lease transactions should be accounted for in the year ended 30 June 20X4.

(24 marks)

2.
   a) Calculate the following balances for inclusion in statement of profit or loss for the year ended 30 June 20X4:

   - depreciation expense
   - interest expenses on lease liabilities
   - gain on disposal of property, plant and equipment
   - gain on recognised on sale and lease back

   b) Construct the maturity analysis note for the lease liability for Scott Ltd at 30 June 20X4 split into amounts due in less than one year and amounts due in more than one year.

(6 marks)

Total marks (30 marks)